
IBS Center for Management Research

An Entrepreneur's Accounting Process Dilemma

*This caselet was written by **Manish Agarwal** and **Sanjib Dutta**, IBS Hyderabad. It was compiled from generalised experience, and is intended to be used as a basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation.*

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*"Accounting was the course that helped me more than anything."*¹

– **Julian Robertson, Hedge Fund Manager, June 2013.**

*"Accounting is the art of turning chaos into clarity and confusion into financial wisdom."*²

– **Michael Carter, Certified Public Accountant.**

Rupesh Tingal (Rupesh), a B. Tech alumnus from Chennai's CMC Institute of Technology, set up an office stationery and equipment business firm in March 2023. He invested Rs. 450,000 in launching his solo proprietorship. In addition, he obtained a loan from Axis Bank with the help of a notarized guarantee from his father. During the initial month in business, he completed the following transactions:

1. April 2: Rupesh obtained an interest-only bank loan from Axis Bank for Rs. 700,000.
2. April 4: He paid Rs. 165,000 to Shyamdas & Sons for a computer, printer, and other associated products, and made a part payment of Rs. 50,000 by cheque.
3. April 4: Rupesh took out Rs. 45,000 from the bank account to cover ongoing company expenses.
4. April 5: After purchasing electrical equipment and light fittings from ABC Ltd. for Rs. 55,000, he paid Rs. 4,500 in cash for installation.
5. April 6: He bought equipment worth Rs. 145,000 from CAC Ltd. and paid Rs. 2,900 as railway freight.
6. April 7: He purchased stock from Rajnath & Sons for Rs. 115,000 in cash and received the goods the same day.
7. April 9: He sold stock worth Rs 20,500 for Rs 30,400 in cash to Barkudin Pvt. Ltd. and allowed a 2% discount on immediate payment.
8. April 11: On the occasion of his father's birthday, he distributed stationery at an orphanage. The sale price of stationery was Rs. 8,200 and the cost was Rs. 5,100.
9. April 12: He purchased stock from Venkateshwara Traders. The invoice value was Rs. 85,000 and the trade discount was 8%.
10. April 14: He sold various items worth Rs 72,750 for Rs. 95,000 to Karim Naik Trading Company on credit.
11. April 15: Rupesh's friend from his college days, Santosh Mangal (Santosh), showed an interest in joining his business with an investment of Rs. 450,000. Rupesh agreed as he needed money for the business.

¹ Matt Schiffrin, "Julian Robertson: Hedge Funds are the Antithesis of Baseball," www.forbes.com, June 23, 2013.

² "101 Inspirational Quotes for CPAs, Accounting Students and Professionals [2024]," www.acecloudhosting.com, (Accessed on February 25, 2024).

12. April 17: Both friends decided to distribute some of the stock as free samples to promote their business. They distributed Rs. 9,000 (sale value Rs. 15,200) worth of goods as free samples.
13. April 19: They paid an insurance premium of Rs. 48,000 by cheque for 12 months from April 2023 to March 2024.
14. April 20: Rupesh found that goods with a sale price of Rs. 2,000 had been stolen. The inventory record showed that the cost of such goods was Rs. 1,400.
15. April 21: Goods worth Rs. 7,600 were destroyed due to a fire accident. Edelweiss General Insurance company accepted a claim of Rs. 4,800, and damaged goods were sold for Rs. 750.
16. April 23: Rupesh and Santosh made the full and final payment to Venkateshwara Traders and got a cash discount of 1.5%.
17. April 24: Rupesh withdrew Rs. 12,000 cash and stock worth Rs. 1,450 for his personal use.
18. April 27: Rupesh and Santosh received Rs 50,000 from Karim Naik Trading Company.
19. April 29: Karim Naik Trading Company was declared insolvent and only 40% of the balance amount was received in cash from the company in full settlement of the account
20. April 30: Rs. 30,000 was paid as April month's salaries after deduction of Rs. 1,500 as income tax, Rs. 3,600 as employee's share of the provident fund but before employers' share of provident fund Rs. 1,700.
21. April 30: The business owners had to pay April's rent of Rs. 24,800 in the first week of May.
22. April 30: Monthly interest was paid on the Axis bank loan.

Sometime in the first week of May 2023, Rupesh called up his close friend Harshit Prasanna (Harshit), who had completed a Master's in Commerce (M.Com.). Rupesh showed him his business transactions and asked for his advice. Harshit said that the transactions had to be recorded as per the norms of running a partnership firm. However, Rupesh was not sure how to go about it. When he asked Harshit which accounting method to use to record the business transactions, Harshit said that he could use transaction analysis. Harshit also asked him to use proper accounting methods starting from journal entry to trial balance to balance sheet as it would help him in running the business in the long run.

Rupesh was confused by Harshit's recommendations. First, he was unsure of the type of organization he was managing; second, he was unsure of whether to employ transaction analysis or a proper accounting system. Help Rupesh get a clearer picture of what to do. Additionally, help him record transactions under both methods.

Suggested Readings and References:

1. Ravi M. Kishore, *Advanced Management Accounting*, (Taxmann Publications Private Limited, July 2013).
2. V.K. Saxena & C.D. Vashist, *Advance Cost and Management Accounting*, (Sultan Chand & Sons, 2006).
3. M.Y. Khan & P.K. Jain, *Text, Problems and Cases of Management Accounting*, (McGraw-Hill Education (India) Ltd. 7th Edition, 2017).
4. S.P. Jain & K.L. Narang, *Cost and Management Accounting*, (Kalyani Publishers, January 2014).